

MINGZHE LI

Portfolio Choice · Household Finance · Asset Pricing

[Homepage](#) ◇ mingzheli@stu.shzu.edu.cn ◇ Shihezi University

WORKING PAPERS

On Apparent Relative Risk Aversion (2026)

Available at [SSRN 6911380](#)

Abstract: For HARA utility satisfying the precautionary saving motive, apparent relative risk aversion—the value function’s relative risk aversion, which governs the optimal risky portfolio share—lacks a general characterization under concave consumption. Given a constant $1/(k - 1)$, it is characterized by the elasticity of supernumerary consumption with respect to wealth, bounded above by unity. Linear consumption implies that apparent relative risk aversion is increasing and concave, such that the optimal risky portfolio share is decreasing and convex in the Merton model, a pattern difficult to reconcile with limited participation and underdiversification. This paper derives necessary and sufficient conditions for the monotonicity and concavity of apparent relative risk aversion under concave consumption. These conditions provide a benchmark to assess whether deviations rationalize heterogeneous investor behavior.

I would like to thank John Y. Campbell for his helpful comments.

WORK IN PROGRESS

Apparent Risk Aversion in the Small and in the Large

This paper concerns the value function for risky assets. A measure of apparent risk aversion in the small, the risk premium for an arbitrary risk, and a natural concept of decreasing apparent risk aversion are discussed and related to one another.

On Apparent Relative Risk Aversion: Numerical Evidence from Continuous-Time Portfolio Choice

Develops a numerical framework to evaluate the analytical conditions for apparent relative risk aversion monotonicity and concavity established in the companion paper, for problems where closed-form consumption policy is unavailable.

RESEARCH EXPERIENCE

Julia (2024) Implementation of *Financial Frictions and the Wealth Distribution* (Fernández-Villaverde et al., 2023)

MATLAB (2024) Codebase modernization for *Recursive Macroeconomic Theory* (Ljungqvist & Sargent, 2018) Available at [GitHub](#)

EDUCATION

Shihezi University

2024–Present

Master of Finance (M.F.)

Sichuan University

2023

B.Eng. in Computer Science and Technology

SKILLS

Programming: Julia, MATLAB

Mathematical Training:

Analysis: *Analysis I–III* (H. Amann & J. Escher)

Stochastic Analysis: *An Introduction to Stochastic Differential Equations* (L. Evans)

Languages: Chinese, English

Last updated: September 24, 2026